



CA INTER MAY/SEP 26/JAN 27

GST

TAX INVOICE

ONE SHOT



Chapter 10: Tax Invoice, Dr. & Cr. Note

1. Who is required to issue Tax Invoice?

- A registered person paying tax under regular scheme
- A registered recipient liable to pay GST under RCM

TAX INVOICE

2. Time Limit for Issue of Invoice – Covered Under Time of Supply Chapter

3. HSN Code – Code Used to Identify Goods / Services (8 Digit Code)

Supplies T/o in Preceding FY	No. of Digit to mention on Invoice of HSN code
ATO ≤ 5 crore	B2B Supply – 4 Digit B2C Supply – 4 Digit (Optional)
ATO > 5 crore	6 Digit For all Supplies

4. No Need to issue Tax Invoice if following 3 Conditions fulfilled:

- Value of Supply is less than 200/-
- Recipient is unregistered
- Recipient doesn't Require invoice

for these type of supplies during the end of the day a Consolidated Invoice can be raised

Note: above provisions are not applicable to Service through admission to exhibition/ cinema/multiplex → Entry Ticket is considered as Tax invoice.

5. No. of Copies of Invoices/Delivery Challan to be issued

Taxable Supply of Goods ⇒ 3 copies

- 1st - Recipient
- 2nd - Transporter
- 3rd - Supplier

Taxable Supply of service ⇒ 2 copies

- 1st - Recipient
- 2nd - Supplier

6. Bill of Supply

Composition Supplier and the Supplier of Exempted Goods shall not allowed to issue tax invoice. Instead they will issue Bill of supply.

7. In Case Supplier making taxable & Exempt Supplies together

No need to issue Separate tax Invoice for taxable as well as Exempt Supply. Supplier can issue Invoice Cum Bill of supply

8. For Receipt of Advance – Receipt Voucher for Refund of Advance – Refund Voucher

REFUND

9. At the time of Receipt of advance

- ✓ rate of tax not determinable – @ 18%
- ✓ nature of Supply not determinable – Inter State Supply

10. Revised Tax Invoice

Every RP who been granted Registration from retrospective effect, Shall Issue "Revised tax invoice" (within 1 month from Date of Issue of Reg. Certificate. For Period from effective date of registration to the date of receipt of RC.

E.g. Mr. J Crossed AATO of 20 lac on 02/04/24. He applied for Registration on 25/04/24 & Granted Registration Certificate on 04/05/2024. Mr. J Shall Issue Revised Tax Invoice till 03/6/24 for Period 02/04/24 – 25/04/24.

Consolidate Revised(CI) tax Invoice can be issued only if

- ✓ Inter State B2C is less than Rs. 2,50,000 → State wise CI
- ✓ Inter State B2C is Rs 2,50,000 or more → Recipient wise CI
- ✓ Intra state B2C (for any value) → CI

11. Delivery Challan

- ✓ Rule 55 specifies the cases where at the time of removal of goods for transportation, goods can be removed on delivery challan and invoice may be issued after delivery.



- ✓ E.g. Goods sent on approval basis, goods sent to job work, goods transferred from factory to warehouse where both are not distinct person etc.
- ✓ Serially numbered **not exceeding 16 characters** is to be issued at the time of removal of goods for transportation

12. E-Invoicing [Invoices / Debit Note / Credit Note]

- ✓ Supplier is notified Person (i.e. Registered Person having ATO > 5 cr. In any Preceding FY from 2017-18 Onwards)
- ✓ Supply is B2B or Export
- ✓ E-invoicing doesn't mean generating **Invoice on Govt. Portal** it's just Reporting Invoice on Invoice Registration Portal
- ✓ E-Invoicing Not applicable on following:
 - Input Service Distributor (ISO)
 - SEZ units (**not developers**)
 - Insurance / Bank / Financial institution / NBFC
 - Goods transporter agency (GTA)
 - Passenger transportation services
 - Admission to Exhibition, Cinema, Multiplex
 - Govt. Department Local authority
- ✓ However, If E-Invoicing applicable and RP doesn't issue **E-invoice** then it shall be Considered that **no Invoice has been Issued** (i.e. normal invoice shall not be considered as valid invoice)

13. Process of generating E-Invoice

- ✓ Taxpayer raises invoice on accounting software with all required details.
- ✓ Invoice details are uploaded to IRP for authentication. IRP validates data, checks duplication, and generates IRN (hash).
- ✓ IRP digitally signs invoice and generates QR code; supplier gets intimation.
- ✓ IRP shares data with GST portal & e-way bill portal; GSTR-1 auto-filled and tax liability determined.

14. E-Invoicing In Case of Supplies under RCM

- ✓ Supplier is a notified person → E-Invoicing Applicable
- ✓ Supplier is URP & Recipient is notified person → E-Invoicing Not applicable

15. Dynamic QR code on B2C invoices

- ✓ B2C invoices of RP having AATO > ₹500 crore (any PFY from 2017-18) must have Dynamic QR Code.
- ✓ Purpose: Enable digital payments via scanning QR code.
- ✓ Invoice to UIN holder treated as B2C, hence QR code applicable.
- ✓ Dynamic QR code is not applicable to an invoice issued to an URP by following suppliers:
 - Insurer or banking company or financial institution including NBFC
 - GTA
 - Supplier of passenger transportation service
 - Multiplex (cinematograph films)
 - Supplier of OIDAR services
- ✓ No Dynamic QR code **in case of exports** as E-invoicing is required.
- ✓ QR Code contains following information: -
 - Supplier GSTIN number
 - Supplier UPI ID
 - Payee's Bank A/c number and IFSC
 - Invoice number & invoice date,
 - Total invoice value and
 - GST amount along with breakup i.e. CGST, SGST, IGST, Cess, etc.

16. Credit Note & Debit Note [Section 34]

Credit Note

In following cases credit note get issued

- ✓ Supplier Declared Value in invoice **exceeds** Actual VOS
- ✓ Supplier charged **High tax rate** than applicable
- ✓ Quantity Received **lower than** Quantity mentioned in invoice
- ✓ Quality of Supplied Goods Services **not satisfactory** hence required Partial / total Reimbursement of Invoice Value
- ✓ Sales Return



- ✓ Advance Received & Invoice issued, now Refunding amount as no supply is to be made.
- ✓ Credit note Issued by Supplier will reduce his tax Liability and ITC of Recipient.

Declaration of credit note in Return.

Any Registered Person who issues credit note shall declare details of such Credit note in return of month in which Credit note issued but not later than

- 30th of November following end of FY to which original supply Relates
 - Date of furnishing Annual Return
- Whichever is earlier



Debit Note

In following Cases Debit note get issued

- ✓ Supplier Declared Value in invoice is less than Actual Value of Supply
- ✓ Supplier charged Lower tax rate than applicable
- ✓ Quantity supplied is higher than Quantity mentioned in invoice
- ✓ Debit note Issued by Supplier will Increase his tax Liability and recipient is eligible for ITC.
- ✓ Declare in Return of month in which Debit note issued
[No maximum time limit in Case Debit note]

17. Document other than Tax Invoice Permitted

Supplier	
1. Insurance / Banking co. / F2 / NBFC	• Monthly Statement can be issued
2. GTA for transport of Goods through road	• Gross weight of consignment • Name of Consignor /consignee • Registration no. of Carriage • Details of Goods • GSTIN of Payee • Other Info Same as Tax invoice
3. Passenger transportation	Tickets can be issued
4. Service by way of Admission to exhibition / cinema / multiplex	E-ticket can be issued





THANK
YOU